

ASIC customer's product upgrade to continue in 2H26F

Quick Note

Shengyi Electronics (SE) reported 1H26 results on 14 August after market close. The company recorded 53.5% y-y revenue growth in 1H26 to CNY5.78bn, translating into a revenue of CNY3.37bn for 2Q26 (+54.1% y-y, +39.9% q-q), which is in line with our estimate. 1H26 earnings recorded 109.4% y-y growth to CNY1.11bn, in line with the midpoint of the company's earnings guidance. GPM increased 3.9pp y-y to 34.3% in 1H26 and increased by 2.9pp y-y to 33.7% in 2Q26 (-1.5pp q-q); the q-q decrease is likely owing to the price hike of raw materials, in our view. We note that the company's operating cash flow delivered a robust growth to CNY917mn in 1H26 (+112% y-y), but the free cash flow was negative due to continued strong growth of capex of 111% y-y to CNY1.27bn. We think the strong upsurge in capital spending indicates the company's proactive expansion plan in the AI PCB segment, which could be validated by the capacity ramp-up of production bases from Dongcheng, Ji'an and Thailand. We think SE will continue to benefit from its key ASIC customer's new product ramp-up (i.e. Trainium 3) in 2H26F, which should underpin continued ASP and margin uptick. We maintain Buy rating with TP of CNY159, based on 35x FY27F EPS of CNY4.55. The stock is trading at 25.5x FY27F EPS.

According to Prismark's forecast, the global PCB total production value will grow at a CAGR of 11.0% from 2025 to 2030. Among them, high-end PCBs (i.e., multilayer PCB with 18 layers+ and HDI) are showing strong growth, with 2025-2030 CAGR of 30.3% and 13.1%, respectively. To further capture market share in high-end PCBs, SE actively expanded production capacity in 1H26: 1) Phase I of the Dongcheng Intelligent Computing Center high-layer-count (HLC) PCB project continues to ramp up capacity, while Phase II proceeds with construction and equipment deployment as planned; 2) The first phase of the Ji'an Intelligent Manufacturing AI Computing PCB project started production at the end of 2Q26, and the second phase is currently underway; 3) The first phase of the Thailand production base project has entered the equipment installation, commissioning, and trial production preparation stage; 4) The Dongguan AI Computing HDI production base project officially started construction, with plans for high-end HDI production capacity (including mSAP process HDI products).

Rating Remains	Buy
Target price Remains	CNY 159.00
Closing price 14 August 2026	CNY 115.99

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Fig. 1: Shengyi Electronics - 1H26 & 2Q26 earnings summary

(CNY mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	y-y	q-q	1H23	2H23	1H24	2H24	1H25	2H25	1H26	y-y	h-h
	A	A	A	A	A	A			A	A	A	A	A	A	A		
Turnover	1,579	2,189	3,060	2,665	2,411	3,373	54.1%	39.9%	1,583	1,690	1,973	2,713	3,769	5,725	5,784	53.5%	1.0%
% chg yoy	79%	101%	154%	77%	53%	54%			-12%	-3%	25%	61%	91%	111%	53%		
COGS	(1,108)	(1,515)	(2,022)	(1,890)	(1,562)	(2,237)			(1,310)	(2,796)	(1,585)	(2,037)	(2,623)	(3,912)	(3,799)		
Gross Profit	471	674	1,038	775	849	1,136			273	(1,106)	389	677	1,145	1,813	1,984		
OPEX	(247)	(307)	(370)	(377)	(338)	(441)			(281)	1,057	(294)	(421)	(555)	(747)	(779)		
Operating Income	224	367	669	398	511	695	89.5%	36.1%	(7)	(49)	95	256	591	1,067	1,205	104.0%	13.0%
% chg yoy	878%	408%	606%	147%	128%	89%			-104%	-134%	-1389%	-623%	521%	317%	104%		
Finance Expense	(5)	(11)	(19)	(24)	(24)	(25)			(16)	(15)	(7)	(8)	(15)	(43)	(49)		
Other gains/expense	5	12	19	23	25	25			16	15	7	8	16	42	50		
Pretax income	224	367	669	398	511	695	89.1%	36.0%	(7)	(50)	95	255	591	1,067	1,206	103.9%	13.1%
% chg yoy	869%	408%	607%	147%	128%	89%			-104%	-136%	-1421%	-615%	520%	317%	104%		
Tax	(24)	(37)	(85)	(39)	(66)	(29)			17	32	1	(20)	(61)	(124)	(95)		
Profit to shareholders	200	330	584	358	445	666	101.6%	49.8%	10	(35)	96	236	531	943	1,111	109.4%	17.8%
% chg yoy	657%	374%	546%	146%	122%	102%			-94%	-123%	904%	-782%	452%	300%	109%		
Ratio Analysis																	
GPM	29.8%	30.8%	33.9%	29.1%	35.2%	33.7%	2.9pp	-1.5pp	17.3%	-65.5%	19.7%	24.9%	30.4%	31.7%	34.3%	3.9pp	2.6pp
OPEX	15.7%	14.0%	12.1%	14.1%	14.0%	13.1%	-1.0pp	-1.0pp	17.7%	-62.6%	14.9%	15.5%	14.7%	13.0%	13.5%	-1.2pp	0.4pp
OPM	14.2%	16.7%	21.8%	14.9%	21.2%	20.6%	3.9pp	-0.6pp	-0.5%	-2.9%	4.8%	9.4%	15.7%	18.6%	20.8%	5.2pp	2.2pp
NPM	12.7%	15.1%	19.1%	13.5%	18.4%	19.7%	4.7pp	1.3pp	0.6%	-2.0%	4.9%	8.7%	14.1%	16.5%	19.2%	5.1pp	2.7pp

Source: Company data, Nomura research

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Appendix A-1

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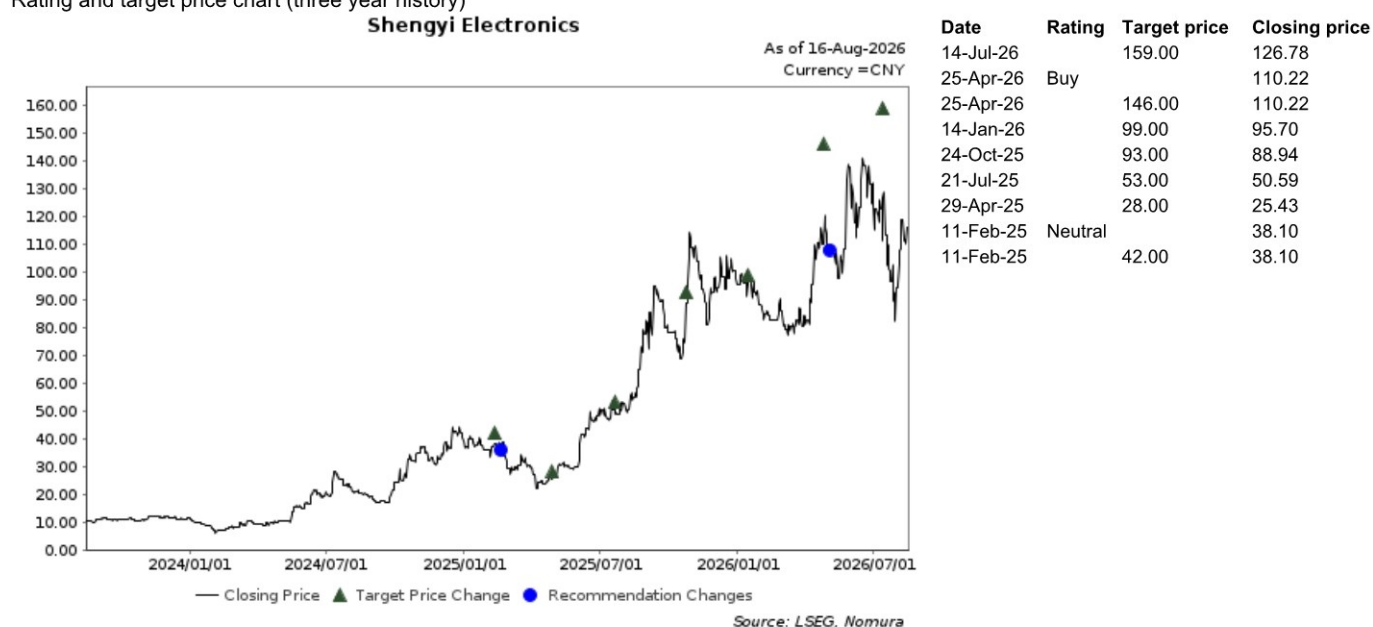
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Shengyi Electronics	688183 CH	CNY 115.99	14-Aug-2026	Buy	N/A	

Shengyi Electronics (688183 CH)

CNY 115.99 (14-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY159.00 is based on 35x 2027F EPS of CNY4.55, in line with company's historical median P/E, and the FY26-28F earnings CAGR of 37%. The benchmark index is CSI 300.

Risks that may impede the achievement of the target price Downside risks include: 1) lower-than-expected PCB demand in downstream sectors such as 5G, servers, auto electronics; 2) increasingly fierce market competition on high-end PCBs leading to margin pressure and 3) higher-than-expected raw material cost pressure.

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